

How Counter-Offers Work

Even with their inherent risk (the buyer could walk away), counter-offers are a great option for sellers who've received an offer with some terms that they find acceptable and some that are unacceptable. In any market (neutral, hot, or cold), both parties will likely have to compromise. Total seller-sided transactions are rare, even when the market is sizzling, and when it's fizzling, it's a rare seller who will sell for much less than list price.

Many sellers have heard about the anomalies-the instances where the seller asked for the moon and got it-and want to negotiate to that end. Setting seller expectations appropriately is part of your role as a seller's agent, because sellers who don't play fair often lose deals.

Example

One seller had a hot property in a moderate market. His home was in an area with little turnover, and he received five offers soon after listing. Three of these offers were more than full price, and two were close to full price. At first, the seller was thrilled. Then he began thinking, "If I can get this much, how much more can I get?" He decided to reject all of the offers and instructed his agent to tell the buyers' agents to "send your best offer." All five potential buyers walked away. Panicking, he asked his agent to ask the top bidder to renew her bid. She balked. He went down the line until he got the second-to-lowest bidder. That bidder stayed in the game, but if he'd simply accepted the highest offer (or at minimum, countered it), he would have had a much better deal.

Generally speaking, it's bad form to counter on price when you've received a full-price offer. This tactic will turn a lot of buyers away, but that doesn't stop sellers from doing it, or agents from advising it. Countering full-price offers is more common in multiple-offer scenarios. If your seller receives a full-price offer and wants to counter on price when there are no competing offers, ask why. You arrived at the list price for a reason. (In addition, if you've presented the seller with a full-price offer, the seller turns it down by countering, and the buyer walks away, your brokerage has already earned the brokerage fee.)

Sometimes, it's a term that's not price-related that the seller wants to counter-hopefully significant terms. Countering over a \$300 free-standing refrigerator is not good business practice, for example. Besides price, legitimate reasons to counter include, but are not limited to, the following:

- Closing date
- Earnest money deposit amount, date of deposit
- Amount financed or type of financing
- Inspection period length
- Contingencies, particularly a sales contingency in which the buyer has to sell his current home before moving forward with the purchase

Although you must obey your clients' wishes, sellers who want to counter on a trivial matter should be redirected to the prize: a successful closing. Faced with a counter-offer, a buyer has the same options the seller had with the original offer:

- Accept
- Reject
- Counter

The negotiation phase continues until both parties are in agreement on all terms.